Type MS · Revenue and profit: meaning and how to raise them

Answer 1 of 14 · Question 2 part d · 3 marks

2022 JUN · Paper 01 · extract 1 of 6 · find part d in this mark scheme extract

Number	Answer	
2 (a)	**A02 - 1 mark** Award 1 mark for a valid way in which *TBTS* can measure its success in business in the context of *TBTS* • An increase in the revenue it earns from selling its toys **(1)** **NB** Do not accept a way that is not in the context of *TBTS* **Accept any other appropriate response**	**(1)**

Question Number	State **one** reason why *TBTS* might segment its market **Answer**	**Mark**
2 (b)	**A02 - 1 mark** Award 1 mark for a valid reason *TBTS* might segment the market in the context of *TBTS* • *TBTS* will be able to aim its toys appropriately to different age groups **(1)** **NB** Do not accept a reason that is not in the context of *TBTS* **Accept any other appropriate response**	**(1)**

Type MS · Revenue and profit: meaning and how to raise them

Answer 1 of 14 · Question 2 part d · 3 marks

2022 JUN · Paper 01 · extract 2 of 6 · find part d in this mark scheme extract

Question Number	Explain **one** benefit to a business of having a flat organisational structure. **Answer**	Mark
2 (c)	**A01 - 3 marks** Award 1 mark for identification of a benefit to a business of having a flat organisational structure, plus 2 further marks for explaining this benefit for a business, for a maximum of 3 marks • Businesses will have fewer levels **(1)** so lines of communication are shorter **(1)** leading to quicker decision-making **(1)** NB Answers that list three benefits with no explanation will get 1 mark only **Accept any other appropriate response.**	**(3)**

Question Number	Explain **one** method a small business may use to increase its profit. **Answer**	Mark
2 (d)	**A01 - 3 marks** Award 1 mark for identification of a method of increasing profit, plus 2 further marks for explaining this method, for a maximum of 3 marks. • Cutting costs **(1)** such as reducing the number of employees **(1)** which could increase profit if revenue stays the same **(1)** **NB** Answers that list three methods with no explanation will get 1 mark only **Accept any other appropriate response**	**(3)**

Type MS · Revenue and profit: meaning and how to raise them

Answer 1 of 14 · Question 2 part d · 3 marks

2022 JUN · Paper 01 · extract 3 of 6 · find part d in this mark scheme extract

Question Number	Explain **one** benefit to a business of using the Boston Matrix. **Answer**	Mark
2 (e)	**A01 - 3 marks** Award 1 mark for the identification of a benefit of using the Boston Matrix, plus 2 further marks for explaining that benefit, for a maximum of 3 marks. • The Boston Matrix helps a business to balance its product portfolio **(1)** showing if they have too many similar products **(1)** and can lead to identifying when they need to introduce a new product **(1)** NB Answers that list three benefits with no explanation will get 1 mark only **Accept any other appropriate response.**	**(3)**

Type MS · Revenue and profit: meaning and how to raise them

Answer 1 of 14 · Question 2 part d · 3 marks

2022 JUN · Paper 01 · extract 4 of 6 · find part d in this mark scheme extract

Question Number	*TBTS* is considering two options: **Option 1:** using retained profits **Option 2:** getting a bank loan Justify which **one** of these two options *TBTS* should choose **Indicative content**	Mark
2 (f)	**AO2 = 3 marks AO3 = 3 marks** **AO4 = 3 marks** **AO2** • **Option 1** – By using retained profits *TBTS* can buy the toys immediately to sell in its toy shops • **Option 2** – *TBTS* will have to wait for a decision to be made by the bank before being able to buy the toys from new suppliers **AO3** • **Option 1** – This method does not need to be paid back so any profits made from the introduction of new toys will go back into the business • **Option 2** – *TBTS* may have more finance from a bank loan and can therefore buy a wider range of toys **AO4** • **Option 1** – However, *TBTS* can only use retained profits if they have any in the first place as it can take some time to build up profits to use in investing in new products. • **Option 2** – However, interest has to be paid back to the bank so this adds an additional cost to the business but can be paid back over a long period of time so *TBTS* can budget for this.	**(9)**

Type MS · Revenue and profit: meaning and how to raise them

Answer 1 of 14 · Question 2 part d · 3 marks

2022 JUN · Paper 01 · extract 5 of 6 · find part d in this mark scheme extract

Level	Mark	Descriptor
	0	No Rewardable material.
Level 1	1-3	• Limited application of knowledge and understanding of business concepts and issues to the business context. (AO2) • Attempts to deconstruct business information and/or issues, finding limited connections between points. (AO3) • Makes a judgement, providing a simple justification based on limited evaluation of business information and issues relevant to the choice made. (AO4)
Level 2	4-6	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies. (AO2) • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies. (AO3) • Makes a judgement, providing a justification based on sound evaluation of business information and issues relevant to the choice made. (AO4)
Level 3	7 - 9	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout. (AO2) • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning. (AO3) • Makes a judgement, providing a clear justification based on a thorough evaluation of business information and issues relevant to the choice made. (AO4)

Type MS · Revenue and profit: meaning and how to raise them

Answer 1 of 14 · Question 2 part d · 3 marks

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Question Number	Answer	Mark
	Define the term **inventory.**	

3 (a)	**AO1 – 1 mark** Award 1 mark for a correct definition of **exporter.** • A business/individual that sells products/services to another country	**(1)**

Q. No.	Outline **one** advantage to *Samsung* of using flow production when manufacturing its products. **Answer**	Mark
3 (b)	**AO2 – 2 marks** Award 2 marks for linked points outlining an advantage to *Samsung* of using flow production when manufacturing its products. Award a maximum of 1 mark if points are not linked. • *Samsung* can produce a large number of smartphones on its production lines **(1)** allowing *Samsung* to lower its unit costs **(1)** **NB** To award 2 marks there must be linked points **and** evidence of application. **Accept any other appropriate response.**	**(2)**

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Type MS · Revenue and profit: meaning and how to raise them

Answer 2 of 14 · Question 3 part d · 6 marks

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Q. No.	Calculate the selling price of the laptop. You are advised to show your workings. **Answer**	**Additional Guidance**	**Mark**
3 (c)	**AO2 – 2 marks** Award 2 marks for the correct answer 650 000 KRW **(2)** **OR** award 1 mark for workings if final answer is incorrect 520 000 x 25% = 130 000 KRW **(1)**	Award full marks for correct answer with no working. Award 1 mark for correctly substituting numbers into formula.	**(2)**

Q. No.	Analyse why profit is important to *Samsung*. **Indicative content**	**Mark**
3 (d)	**AO2 = 3 marks AO3 = 3 marks** **AO2** • *Samsung* invests large amount of funding to design and develop innovative electronic products such as smartphones • *Samsung* is a public limited company and is currently the leading manufacturer of TV's **AO3** • High levels of profit will allow *Samsung* to reinvest its profits into new technology to compete in the market • High levels of profit may attract further funds from investors who may be enticed by the possibility of high returns on their investments	**(6)**

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Type MS · Revenue and profit: meaning and how to raise them

Answer 2 of 14 · Question 3 part d · 6 marks

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Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1-2	• Limited application of knowledge and understanding of business concepts and issues to the business context **(AO2)** • Attempts to deconstruct business information and/or issues, finding limited connections between points **(AO3)**
Level 2	3-4	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies **(AO2)** • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies **(AO3)**
Level 3	5-6	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout (**AO2**) • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning **(AO3)**

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Answer 2 of 14 · Question 3 part d · 6 marks

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Q. No.	**Option 1:** Just in time (JIT) **Option 2:** Kaizen **(e)** Justify which **one** of these two options *Samsung* should choose to minimise costs. **Indicative content**	Mark
3 (e)	**AO2 = 3 marks, AO3 = 3 marks, AO4 = 3 marks** **AO2** • **Option 1** – JIT will allow *Samsung* to receive delivery of electronic parts for its manufacture of laptops as required on the assembly line • **Option 2** – Kaizen will encourage a culture of continuous improvement to may help *Samsung* reduce waste when manufacturing its laptops and TV's **AO3** • **Option 1** – JIT will reduce the storage costs of its electronic parts if supplies are delivered only when required rather than having to store them in a warehouse • **Option 2** – Reduced waste in the factory will help keep costs of laptops low which will help them compete with businesses such as *Apple* **AO4** • **Option 1** – However, if suppliers deliver in smaller batches this may increase the delivery cost of materials which will increase the total cost of production • **Option 2** – However, introducing Kaizen will take time and require training of employees which may increase costs for *Samsung* in the short term	**(9)**

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Answer 2 of 14 · Question 3 part d · 6 marks

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Level	Mark	Descriptor
	0	No Rewardable material.
Level 1	1-3	• Limited application of knowledge and understanding of business concepts and issues to the business context. (AO2) • Attempts to deconstruct business information and/or issues, finding limited connections between points. (AO3) • Makes a judgement, providing a simple justification based on limited evaluation of business information and issues relevant to the choice made. (AO4)
Level 2	4-6	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies. (AO2) • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies. (AO3) • Makes a judgement, providing a justification based on sound evaluation of business information and issues relevant to the choice made. (AO4)
Level 3	7 - 9	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout. (AO2) • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning. (AO3) • Makes a judgement, providing a clear justification based on a thorough evaluation of business information and issues relevant to the choice made. (AO4)

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Answer 2 of 14 · Question 3 part d · 6 marks

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Q. No.	Calculate, to **two** decimal places, the operating profit margin You are advised to show your workings. **Answer**	Additional Guidance	Mark

Type MS · Revenue and profit: meaning and how to raise them

Answer 3 of 14 · Question 3 part a · 1 mark

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3 (a)	**AO1 - 1 mark** Award 1 mark for a correct definition of profit. • Profit is the difference between total revenue and total costs **(1).**	**(1)**

Question Number	Answer	Mark
3 (b)	**AO2 - 2 marks** Award 1 mark for identifying an impact of an increase in interest rates on *Backyard Shoez.* One further mark for outlining it in the context of the business. *Backyard Shoez* could see a decrease in sales of shoes **(1)** because their customers who have debts have less income to spend on luxury items because they are paying more back to lenders **(1).** **NB** Do not accept a reason that is not in context of *Backyard Shoez*. **Accept any other appropriate response.**	**(2)**

Question Number	Answer	Additional guidance	Mark
3 (c)	**AO2 - 2 marks** 100 000/ (4 300 – 3 500) OR 100 000/ 800 **(1)** = 125 shoes **(1).** NB: Alternatively if candidates have worked out revenue instead of number of shoes then marks can be awarded for calculating break even revenue: 125 x 4 300 = 537 500Ks **(1).**	Award 1 mark for correctly substituting numbers into formula. Award full marks for correct numerical answer without working.	**(2)**

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Answer 3 of 14 · Question 3 part a · 1 mark

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Question Number	Indicative content	Mark
3 (d)	**AO2 = 3 marks AO3 = 3 marks** **AO2** • *Backyard Shoez* will be able to see that it needs to sell 125 pairs before it can break-even. • *Backyard Shoez* can ask 'what if' questions and see what impact various price changes have on the break-even point. **AO3** • This will enable *Backyard Shoez* to know if they are breaking even and moving into profit. • They can raise or lower the price to become more competitive with other shoe shops.	**(6)**

Level	Mark	Descriptor
	0	No Rewardable material.
Level 1	1-2	• Limited application of knowledge and understanding of business concepts and issues to the business context (AO2). • Attempts to deconstruct business information and/or issues, finding limited connections between points (AO3).
Level 2	3-4	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies (AO2). • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies (AO3).
Level 3	5-6	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout (AO2). • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning (AO3).

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Answer 3 of 14 · Question 3 part a · 1 mark

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Question Number	Indicative content	Mark
3 (e)	**AO2 = 3 marks AO3 = 3 marks** **AO4 = 3 marks** **AO2** • Option 1 – Crowdfunding is a quick way to raise finance to buy new shoes/latest fashion. • Option 2 – An overdraft allows *Backyard Shoez* a temporary facility to withdraw funds from its bank to buy the required amount of stock. **AO3** • Option 1 – They could also pay the investors with products rather than a financial reward which could help cash flow. • Option 2 – If *Backyard Shoez* chooses an overdraft it gives them flexibility and they only pay interest when overdrawn. **AO4** • Option 1 – Crowdfunding is a high risk way of trying to obtain finance, this could result in *Backyard Shoez* not being able to raise sufficient funds to buy the additional stock required therefore impacting on its expansion plans. • Option 2 – The bank can demand repayment at any time and interest rates on overdraft are usually high.	**(9)**

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Answer 3 of 14 · Question 3 part a · 1 mark

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Level	Mark	Descriptor
	0	No Rewardable material.
Level 1	1-3	• Limited application of knowledge and understanding of business concepts and issues to the business context (AO2). • Attempts to deconstruct business information and/or issues, finding limited connections between points (AO3). • Makes a judgement, providing a simple justification based on limited evaluation of business information and issues relevant to the choice made (AO4).
Level 2	4-6	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies (AO2). • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies (AO3). • Makes a judgement, providing a justification based on sound evaluation of business information and issues relevant to the choice made (AO4).
Level 3	7 - 9	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout (AO2). • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning (AO3). • Makes a judgement, providing a clear justification based on a thorough evaluation of business information and issues relevant to the choice made (AO4).

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Answer 3 of 14 · Question 3 part a · 1 mark

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Question Number	Answer	Additional guidance	Mark

Type MS · Revenue and profit: meaning and how to raise them

Answer 4 of 14 · Question 3 part a · 1 mark

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3 (a)	**A01 - 1 mark** Award 1 mark for a correct definition of revenue. • The income over a period of time from the sales of goods **(1)**. • Price x sales **(1)**	**(1)**

Question Number	Answer	Mark
3 (b)	**A02 - 2 marks** Award 1 mark for identifying a reason why *Tata Motor Company* would want to use an overdraft, plus 1 further mark for linking it to the context of the question. • *Tata Motor Company* would need an overdraft to overcome a shortfall in funds **(1)** which means if it needs funds to purchase additional tyres the money will be available **(1)**. **NB** Do not accept a reason that is not in the context of *Tata Motor Company.* **Accept any other appropriate response.**	**(2)**

Question Number	Answer	Additional guidance	Mark
3 (c)	**A02 - 2 marks** 42 839 – 18 441 = 24 398 **(1)** 24 398 ÷ 18 441 x 100 = 132.30% **(1)**	Award 1 mark for correctly substituting numbers into the formula. Award full marks for correct numerical answer without working.	**(2)**

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Answer 4 of 14 · Question 3 part a · 1 mark

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Question Number	Indicative content	Mark
3 (d)	**AO2 = 3 marks AO3 = 3 marks** **AO2** • *Tata Motor Company's* revenue has increased year on year. • *Tata Motor Company* can use these figures to compare them with other vehicle manufacturers. **AO3** • *Tata Motor Company* could invest in designing and manufacturing new cars. • *Tata Motor Company* could adjust its prices to increase its yearly revenue.	**(6)**

	Mark	Descriptor
	0	No rewardable material.
Level 1	1-2	• Limited application of knowledge and understanding of business concepts and issues to the business context. (AO2) • Attempts to deconstruct business information and/or issues, finding limited connections between points. (AO3)
Level 2	3-4	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies. (AO2) • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies. (AO3)
Level 3	5-6	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout. (AO2) • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning. (AO3)

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Answer 4 of 14 · Question 3 part a · 1 mark

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Question Number	Indicative content	Mark
3 (e)	**AO2 = 3 marks AO3 = 3 marks AO4 = 3 marks** **AO2** • **Option 1** – you are able to obtain the information directly from the people about the cars they want and the price they are prepared to pay. • **Option 2** – secondary research is much easier to collate from other car manufacturing websites and reports. **AO3** • **Option 1** – this helps *Tata Motor Company* gather information that is relevant and can help in designing and pricing the next cars to be manufactured. • **Option 2** – and will not take *Tata Motor Company* as long to gather the information it requires. **AO4** • **Option 1** – although gaining this information is important for *Tata Motor Company* it is very costly in time and man power. • **Option 2** – the data it collects may not provide the information it requires.	**(9)**

Type MS · Revenue and profit: meaning and how to raise them

Answer 4 of 14 · Question 3 part a · 1 mark

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Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1-3	• Limited application of knowledge and understanding of business concepts and issues to the business context. (AO2) • Attempts to deconstruct business information and/or issues, finding limited connections between points. (AO3) • Makes a judgement, providing a simple justification based on limited evaluation of business information and issues relevant to the choice made. (AO4)
Level 2	4-6	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies. (AO2) • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies. (AO3) • Makes a judgement, providing a justification based on sound evaluation of business information and issues relevant to the choice made. (AO4)
Level 3	7 - 9	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout. (AO2) • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning. (AO3) • Makes a judgement, providing a clear justification based on a thorough evaluation of business information and issues relevant to the choice made. (AO4)

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Answer 4 of 14 · Question 3 part a · 1 mark

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Question Number	Answer	Additional guidance	Mark

Type MS · Revenue and profit: meaning and how to raise them

Answer 5 of 14 · Question 1 part c · 1 mark

2020 NOV · Paper 02 (regional R) · extract 1 of 6 · find part c in this mark scheme extract

1 (a) (i)	**AO1 = 1 mark** **The only correct answer is D - Manufacture of finished goods** A is not correct because production does not provide services B is not correct because production is not the exchange of goods C is not correct because extraction of raw materials is not production	**(1)**

Question Number	Answer	Mark
1 (a)(ii)	**AO1 = 1 mark** **The only correct answer is B - The person is given support from an established business** A is not correct because a franchise cannot buy supplies from anyone C is not correct because a franchise is not guaranteed a set wage D is not correct because the profits are not shared in a franchise	**(1)**

Question Number	Answer	Mark
1 (a) (iii)	**AO2 = 1 mark** **The only correct answer is D - 50.94%** A is not correct because 6.63% calculation incorrect B is not correct because 1 600 / 1 060 = 15.09 C is not correct because 1 600 – 1 060 = 0.52 / 1 600 = 33.75%	**(1)**

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Answer 5 of 14 · Question 1 part c · 1 mark

2020 NOV · Paper 02 (regional R) · extract 2 of 6 · find part c in this mark scheme extract

Question Number	Answer	Mark
1 (a)(iv)	**AO1 = 1 mark** **The only correct answer is A - Higher loan repayments** B is not correct because a bank increasing the interest rates does not affect labour costs C is not correct because a bank increasing interest rates would possibly reduce net cash flow D is not correct because a bank increasing interest rates would possibly reduce sales	**(1)**

Question Number	Answer	Mark
1 (a) (v)	**AO1 = 1 mark** **The only correct answer is B - It is funded by government** A is not correct because a public corporation is not owned by the directors C is not correct because a public corporation does not aim to maximise profit D is not correct because a public corporation is accountable to the public	**(1)**

Question Number	Answer	Mark
1 (a)(vi)	**AO2 = 1 mark** **The only correct answer is C - £980 000** A is not correct because - £40 000 is cash inflow minus outflow B is not correct because £40 000 is outflow minus inflow D is not correct because opening balance £1020 000 plus outflow £400000 minus inflow £360 000	**(1)**

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Answer 5 of 14 · Question 1 part c · 1 mark

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Question Number	Answer	Mark
1 (b)	**AO1 = 1 mark** Award 1 mark for a correct definition of commission. • Payment made to an employee linked to the number of sales made (1).	**(1)**

Question Number	Answer	Mark
1 (c)	**AO1 = 1 mark** Award 1 mark for a correct definition of revenue. • Money from the sale of goods/services (1).	**(1)**

Question Number	Answer	Mark
1 (d)	**A02 = 1 mark** Award 1 mark for a valid reason for having a short span of control in the context of the business. • This allows the directors of *HRMW* to communicate with all manufacturing departments such as boxing gloves and hockey sticks (1). **Accept any other appropriate response.**	**(1)**

Question Number	Answer	Additional guidance	Mark
1 (e)	**A02 = 2 marks** 92 322 – 85 083 = 7 239 (1) 7 239/85 038 = 8.51% (1)	Award 1 mark for substituting numbers into formula correctly. Award full marks for correct numerical answer without working.	**(2)**

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Answer 5 of 14 · Question 1 part c · 1 mark

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Question Number	Answer	Mark
1 (f)	**A01 = 3 marks** Award 1 mark for identification of a reason for sponsoring an event, plus 2 further marks for explaining the reason, for a maximum of 3 marks. • Sponsorship is making a financial contribution to an event (1). This makes more people aware of the business's products (1). This could, in turn, increase sales of those products (1). Answers that list three reasons with no explanation will get a maximum of 1 mark. **Accept any other appropriate response**.	**(3)**

Question Number	Indicative content	Mark
1 (g)	**AO2 = 3 marks AO3 = 3 marks** **AO2** • It differentiates its football products from those of its competitors. • It helps customers to recognise its own logo that appears on all its products. **AO3** • Advertising the footballs is easier because customers are aware of the brand name and the quality of products. • Customers are more likely to buy a *HRMW* hockey stick, rather than an unbranded product, when they see the logo.	**(6)**

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Answer 5 of 14 · Question 1 part c · 1 mark

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Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1-2	• Limited application of knowledge and understanding of business concepts and issues to the business context. (AO2) • Attempts to deconstruct business information and/or issues, finding limited connections between points. (AO3)
Level 2	3-4	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies. (AO2) • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies. (AO3)
Level 3	5-6	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout. (AO2) • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning. (AO3)

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Question Number	Answer	Mark

Type MS · Revenue and profit: meaning and how to raise them

Answer 6 of 14 · Question 1 part b · 1 mark

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1 (a) (i)	AO1 - 1 mark **1 (a) (i) The only correct answer is C** **A** is not correct because personal savings are an internal source of finance **B** is not correct because retained profit is an internal source of finance **D** is not correct because selling assets is an internal source of finance	**(1)**

Question Number	Answer	Mark
1 (a) (ii)	AO1 - 1 mark **1 (a) (ii) The only correct answer is B** **A** is not correct because penetration pricing is where a business sets a low price for a new product **C** is not correct because competition pricing is where a business sets a price for a product in line with its competitors **D** is not correct because promotional pricing is where a business lowers the price of a product for a short time	**(1)**

Type MS · Revenue and profit: meaning and how to raise them

Answer 6 of 14 · Question 1 part b · 1 mark

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Question Number	Answer	Mark
1 (a) (iii)	AO1 - 1 mark **1 (a) (iii) The only correct answer is A** **B** is not correct because discrimination by ability is not protected by legislation **C** is not correct because social discrimination is not protected by legislation **D** is not correct because ethical discrimination is not protected by legislation	**(1)**

Question Number	Answer	Mark
1 (a) (iv)	AO1 - 1 mark **1 (a) (iv) The only correct answer is D** **A** is not correct because a curriculum vitae would be sent to the employer **B** is not correct because a letter of application would be sent to the employer **C** is not correct because a newspaper advertisement would be used to advertise the job vacancy	**(1)**

Question Number	Answer	Mark
1 (a) (v)	AO2 - 1 mark **1 (a) (v) The only correct answer is B** **A** is not correct because it is the exchange rate in euros **C** is not correct because it is the cost of 1kg of dried fruits **D** is not correct because it is the cost of 1kg of dried fruits added to the exchange rate of the euro	**(1)**

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Answer 6 of 14 · Question 1 part b · 1 mark

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Question Number	Answer	Mark
1 (a) (vi)	AO2 - 1 mark **1 (a) (vi) The only correct answer is C** **A** is not correct because it is the cost of a jar of honey formatted as a percentage **B** is not correct because it is the selling price of a jar of honey minus the cost of a jar of honey as a percentage **D** is not correct because it is double the mark up of a jar of honey	**(1)**

Question Number	Define the term profit Answer	Mark
1 (b)	AO1 - 1 mark Award 1 mark for a correct definition of profit. • Total revenue – total costs (1).	**(1)**

Question Number	Define the term non-current liabilities Answer	Mark
1 (c)	AO1 - 1 mark Award 1 mark for a correct definition of non-current liabilities. • Debts that are payable after 12 months (1).	**(1)**

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Answer 6 of 14 · Question 1 part b · 1 mark

2021 JUN · Paper 01 · extract 4 of 7 · find part b in this mark scheme extract

Question Number	State one reason why NOF segments its target market by income Answer	Mark
1 (d)	A02 - 1 mark Award 1 mark for a reason why NOF segments its target market by income. • NOF can sell higher priced organic products to people staying at the farm (1). Accept any other appropriate response.	**(1)**

Question Number	Answer	Additional guidance	Mark
1 (e)	A02 - 2 marks 90 – 10 = 80 (1) 80/160 x 100 = 50 (1)	Award 1 mark for correctly substituting numbers into formula. Award full marks for correct numerical answer without working.	**(2)**

Type MS · Revenue and profit: meaning and how to raise them

Answer 6 of 14 · Question 1 part b · 1 mark

2021 JUN · Paper 01 · extract 5 of 7 · find part b in this mark scheme extract

Question Number	Explain one strategy a small business might use to extend the product life cycle of one of its products Answer	Mark
1 (f)	A01 - 3 marks Award 1 mark for identification of a strategy of extending a product life cycle, plus 2 further marks for explaining the impact, for a maximum of 3 marks. • Local advertising could extend the life cycle of a product (1). A small business could deliver leaflets to the local area to increase customer awareness of a product (1) leading to a potential increase in sales (1). NB Answers that list three strategies with no explanation will get a maximum of 1 mark. Accept any other appropriate response.	**(3)**

Question Number	Analyse the importance of marketing to NOF Indicative content	Mark
1 (g)	AO2 = 3 marks AO3 = 3 marks AO2 • Result from marketing would enable NOF to adapt its overnight accommodation to what the customers want. • Marketing can be used to make customers aware of its organic honey. AO3 • This may lead to increased bookings for the overnight accommodation. • Sales of organic honey may increase.	**(6)**

Type MS · Revenue and profit: meaning and how to raise them

Answer 6 of 14 · Question 1 part b · 1 mark

2021 JUN · Paper 01 · extract 6 of 7 · find part b in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–2	• Limited application of knowledge and understanding of business concepts and issues to the business context. (AO2) • Attempts to deconstruct business information and/or issues, finding limited connections between points. (AO3)
Level 2	3–4	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies. (AO2) • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies. (AO3)
Level 3	5–6	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout. (AO2) • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning. (AO3)

Type MS · Revenue and profit: meaning and how to raise them

Answer 6 of 14 · Question 1 part b · 1 mark

2021 JUN · Paper 01 · extract 7 of 7 · find part b in this mark scheme extract

Question Number	State one external factor that could cause a change in demand for NOF products Answer	Mark

Type MS · Revenue and profit: meaning and how to raise them

Answer 7 of 14 · Question 3 part a · 1 mark

2021 NOV · Paper 02 · extract 1 of 5 · find part a in this mark scheme extract

3 (a)	**A01 - 1 mark** Award 1 mark for a correct definition of revenue. • Income from the sale of goods and services **(1)**	**(1)**

Question Number	Outline **one** reason why *Huawei* would use robotics in the production of its products. **Answer**	**Mark**
3 (b)	**A02 - 2 marks** Award 1 mark for identifying a reason why *Huawei* would use robotics, plus 1 further mark for linking it to the context of the question. • *Huawei* could use robots to produce its smartphones because they are quicker and more accurate than employees **(1)** Robots do not need a break and can work 24/7 **(1)** NB Do not accept a reason that is not in the context of *Huawei.* **Accept any other appropriate response.**	**(2)**

Question Number	Calculate the interest *Huawei* would pay. **Answer**	**Additional guidance**	**Mark**
3 (c)	**A02 - 2 marks** 69 941 000 000 x 4.5/100 **(1)** = 3 147 345 000 **(1)**	Award 1 mark for correctly substituting numbers into formula. Award full marks for correct numerical answer without working.	**(2)**

4BS1 02 November 2021

Type MS · Revenue and profit: meaning and how to raise them

Answer 7 of 14 · Question 3 part a · 1 mark

2021 NOV · Paper 02 · extract 2 of 5 · find part a in this mark scheme extract

Question Number	Analyse why *Huawei* offers its new employees in the design department off-the job training. **Indicative content**	Mark
3 (d)	**AO2 = 3 marks AO3 = 3 marks** **AO2** • This involves new employees being trained outside *Huawei* at an external college by tutors and/or other experts in modern technology such as smartphones and tablets • Employees can learn at their own pace the detail and requirements of producing smartphones and tablets **AO3** • As a result, it means that *Huawei* present employees concentrate on their work, and do not have to supervise or train new employees • Employees do not have to worry about making mistakes or errors that could cost *Huawei* money	**(6)**

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–2	• Limited application of knowledge and understanding of business concepts and issues to the business context (AO2). • Attempts to deconstruct business information and/or issues, finding limited connections between points (AO3).
Level 2	3–4	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies (AO2). • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies (AO3).
Level 3	5–6	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout (AO2). • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning (AO3).

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Type MS · Revenue and profit: meaning and how to raise them

Answer 7 of 14 · Question 3 part a · 1 mark

2021 NOV · Paper 02 · extract 3 of 5 · find part a in this mark scheme extract

Question Number	**Option 1:** competition pricing **Option 2:** promotional pricing. **Indicative content**	Mark
3 (e)	**AO2 = 3 marks AO3 = 3 marks AO4 = 3 marks** **AO2** • **Option 1** – If *Huawei* uses this method of pricing, then it is likely to gain sales of the new smartphone because the price will be realistic • **Option 2** – Selling at a cheaper price encourages customers to switch from their present brand to *Huawei* **AO3** • **Option 1** – This pricing strategy means that the consumers have more choice of smartphones as they are all priced at a similar rate • **Option 2** – *Huawei* could gain a larger market share of smartphone users who change brands **AO4** • **Option 1** – However, this does not always mean that the cost of production is covered and if *Huawei* uses this method, it may lose out financially • **Option 2** – However, promotional pricing may generate sales for the length of time of the promotion, but once the price of the smartphones reverts to their normal price it may reduce sales	**(9)**

4BS1 02 November 2021

Type MS · Revenue and profit: meaning and how to raise them

Answer 7 of 14 · Question 3 part a · 1 mark

2021 NOV · Paper 02 · extract 4 of 5 · find part a in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–3	• Limited application of knowledge and understanding of business concepts and issues to the business context (AO2). • Attempts to deconstruct business information and/or issues, finding limited connections between points (AO3). • Makes a judgement, providing a simple justification based on limited evaluation of business information and issues relevant to the choice made (AO4).
Level 2	4–6	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies (AO2). • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies (AO3). • Makes a judgement, providing a justification based on sound evaluation of business information and issues relevant to the choice made (AO4).
Level 3	7– 9	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout (AO2). • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning (AO3). • Makes a judgement, providing a clear justification based on a thorough evaluation of business information and issues relevant to the choice made (AO4).

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Type MS · Revenue and profit: meaning and how to raise them

Answer 7 of 14 · Question 3 part a · 1 mark

2021 NOV · Paper 02 · extract 5 of 5 · find part a in this mark scheme extract

Question Number	Calculate the cost of this smartphone in US Dollars **Answer**	**Additional guidance**	**Mark**

Type MS · Revenue and profit: meaning and how to raise them

Answer 8 of 14 · Question 1 part b · 1 mark

2023 NOV · Paper 01 · extract 1 of 6 · find part b in this mark scheme extract

1 (a) (i)	**AO1 - 1 mark** **The only correct answer is C** **A** is not the correct answer as sales is shown on the statement of comprehensive income **B** is not the correct answer as cost of sales is shown on the statement of comprehensive income **D** is not the correct answer as gross profit is shown on the statement of comprehensive income	**(1)**

Question Number	Which **one** of the following is an element of the marketing mix? **Answer**	**Mark**
1 (a) (ii)	**AO1 - 1 mark** **The only correct answer is A** **B** is not the correct answer as a partnership is when 2 or more people own a business together **C** is not the correct answer as production is the manufacturing of goods **D** is not the correct answer as profit is the difference between total revenue and total costs	**(1)**

Question Number	**(iii)** Which **one** of the following is the total monthly cost? **Answer**	**Mark**
1 (a) (iii)	**AO1 - 1 mark** **The only correct answer is D** **A** is not the correct answer as it is the sum of total fixed costs and variable costs for one unit **B** is not the correct answer as it is the sum of fixed costs plus output quantity **C** is not the correct answer as it is the sum of fixed costs multiplied by the variable cost	**(1)**

Type MS · Revenue and profit: meaning and how to raise them

Answer 8 of 14 · Question 1 part b · 1 mark

2023 NOV · Paper 01 · extract 2 of 6 · find part b in this mark scheme extract

Question Number	Which **one** of the following job roles is most likely associated with capital-intensive production? **Answer**	Mark
1 (a) (iv)	**AO1 - 1 mark** **The only correct answer is B** **A** is not the correct answer as the role of a hairdresser is labour intensive **C** is not the correct answer as the role of a fruit picker is labour intensive **D** is not the correct answer as the role of a chef is labour intensive	**(1)**

Question Number	Which **one** of the following is an internal source of finance? **Answer**	Mark
1 (a) (v)	**AO1 - 1 mark** **The only correct answer is C** **A** is not the correct answer as an overdraft is an external source of finance **B** is not the correct answer as venture capital is an external source of finance **D** is not the correct answer as crowdfunding is an external source of finance	**(1)**

Question Number	Which **one** of the following is the weekly break-even point? **Answer**	Mark
1 (a) (vi)	**AO2 - 1 mark** **The only correct answer is C** **A** is not the correct answer as this represents the wrong fixed costs of 44 000 divided by the contribution of 5 500 **B** is not the correct answer as this represents the fixed costs of 440 000 divided by the selling price of 8 000 **D** is not the correct answer as this represents the fixed costs of 440 000 divided by the variable cost per unit of 2 500	**(1)**

Type MS · Revenue and profit: meaning and how to raise them

Answer 8 of 14 · Question 1 part b · 1 mark

2023 NOV · Paper 01 · extract 3 of 6 · find part b in this mark scheme extract

Question Number	Define the term **profit.** **Answer**	Mark
1 (b)	**AO1 - 1 mark** Award 1 mark for a correct definition of **profit** • The amount remaining when total costs are deducted from total revenue **(1)**	**(1)**

Question Number	Define the term **span of control.** **Answer**	Mark
1 (c)	**AO1 - 1 mark** Award 1 mark for a correct definition of **span of control**. • The number of workers controlled by one manager **(1)**	**(1)**

Question Number	State **one** likely variable cost for *AWG.* **Answer**	Mark
1 (d)	**A02 - 1 mark** Award 1 mark for one variable cost for *AWG* • *AWG* will have to pay for the cost of wool used to make the jumpers **(1)** **NB** Do not accept a variable cost that is not in the context of *AWG*. **Accept any appropriate response.**	**(1)**

Type MS · Revenue and profit: meaning and how to raise them

Answer 8 of 14 · Question 1 part b · 1 mark

2023 NOV · Paper 01 · extract 4 of 6 · find part b in this mark scheme extract

Question Number	Calculate, to **two** decimal places, the new price of the jumper in the promotional sale. **Answer**	**Additional guidance**	**Mark**
1 (e)	**A02 - 2 marks** 329 x 0.25 = 82.25 **(1)** 329 - 82.25 = 246.75 **(1)**	Award 1 mark for correctly substituting numbers into formula. Award full marks for correct numerical answer without working.	**(2)**

Question Number	Explain **one** benefit to a business that operates as a sole trader. **Answer**	**Mark**
1 (f)	**A01 - 3 marks** Award 1 mark for identification of a benefit to a business that operates as a sole trader, plus 2 further marks for explaining the benefit, for a maximum of 3 marks. • Independence of the owner **(1)** which means they can make decision without reference to anyone else **(1)** eliminating any conflicts or disagreements within the business **(1)** **NB** Answers that list three benefits with no explanation will get 1 mark only. **Accept any appropriate response.**	**(3)**

Type MS · Revenue and profit: meaning and how to raise them

Answer 8 of 14 · Question 1 part b · 1 mark

2023 NOV · Paper 01 · extract 5 of 6 · find part b in this mark scheme extract

Question Number	Analyse the advantages to *AWG* of using e-commerce to sell its products. **Indicative content**	Mark
1 (g)	**AO2 = 3 marks AO3 = 3 marks** **AO2** • *AWG* sells its shirts on-line to customers based in other countries • *AWG* uses a website to advertise its baby clothes to attract new customers **AO3** • This helps create recognition of the business internationally allowing *AWG* to increase its sales revenue. • This helps to reduce the costs for *AWG* as selling online is less expensive than opening stores in other countries.	**(6)**

Level	Mark	Descriptor
	0	No Rewardable material.
Level 1	1-2	• Limited application of knowledge and understanding of business concepts and issues to the business context. (AO2) • Attempts to deconstruct business information and/or issues, finding limited connections between points. (AO3)
Level 2	3-4	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies. (AO2) • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies. (AO3)
Level 3	5-6	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout. (AO2) • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning. (AO3)

Type MS · Revenue and profit: meaning and how to raise them

Answer 8 of 14 · Question 1 part b · 1 mark

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Question Number	State **one** non-financial method *AWG* may use to motivate its employees. **Answer**	**Mark**

Type MS · Revenue and profit: meaning and how to raise them

Answer 9 of 14 · Question 1 part a.iii · 1 mark

2024 JUN · Paper 01 (regional R) · extract 1 of 6 · find part a.iii in this mark scheme extract

1 (a) (i)	**AO1 - 1 mark** **The only correct answer is C – Retained profit** **A** is not the correct answer as an overdraft is an external source of finance **B** is not the correct answer as crowdfunding is an external source of finance **D** is not correct answer as share capital is an external source of finance	**(1)**

Question Number	Which **one** of the following is a result of average costs rising in a large business? **Answer**	**Mark**
1 (a) (ii)	**AO1 - 1 mark** **The only correct answer is B – diseconomies of scale** **A** is not the correct answer as economies of scale are as a result of average costs falling due to an increase in size **C** is not the correct answer as purchasing economies are when large businesses can buy resources at a cheaper rate **D** is not the correct answer as financial economies are when large businesses can borrow money at a cheaper rate	**(1)**

Question Number	Which **one** of the following is the money left after all costs have been subtracted from revenue? **Answer**	**Mark**
1 (a) (iii)	**AO1 - 1 mark** **The only correct answer is D - Profit** **A** is not the correct answer as gross profit is the profit after the cost of producing the product **B** is not the correct answer as inflows are payments into a business **C** is not the correct answer as a loss will come when there is a minus figure after costs have been subtracted from revenue	**(1)**

Type MS · Revenue and profit: meaning and how to raise them

Answer 9 of 14 · Question 1 part a.iii · 1 mark

2024 JUN · Paper 01 (regional R) · extract 2 of 6 · find part a.iii in this mark scheme extract

Question Number	Which **one** of the following is a debt payable after 12 months? **Answer**	Mark
1 (a) (iv)	**AO1 - 1 mark** **The only correct answer is A – non-current liability** **B** is not the correct answer as a current liability is a debt that is payable within 12 months **C** is not the correct answer as a non-current asset is one that lasts for more than one year **D** is not the correct answer as a current asset is likely to be turned into cash within a year	**(1)**

Question Number	Which **one** of the following is the markup for the mozzarella cheese and avocado Ciabatta? **Answer**	Mark
1 (a) (v)	**AO2 - 1 mark** **The only correct answer is C – 107%** **A** is not the correct answer as 48% is 2.56/5.30 x100 **B** is not the correct answer as 93% is 2.56/2.74 x100 **D** is not the correct answer as 207% is 5.30/2.56 x100	**(1)**

Question Number	Which **one** of the following would *Café Pinch* pay in euros if it bought 50 kilos of potatoes? **Answer**	Mark
1 (a) (vi)	**AO2 - 1 mark** **The only correct answer is B - €48.81** **A** is not the correct answer as €59.52 is 50kg / £0.84 **C** is not the correct answer as €42.00 is 50kg x £0.84 **D** is not the correct answer as €41.00 is 50kg x £0.82	**(1)**

Question Number	Define the term **variable cost** **Answer**	Mark
1 (b)	**AO1 - 1 mark** Award 1 mark for a correct definition of **variable cost.** • A cost that changes directly with output **(1)**	**(1)**

Type MS · Revenue and profit: meaning and how to raise them

Answer 9 of 14 · Question 1 part a.iii · 1 mark

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Question Number	Define the term **niche marketing.** **Answer**	Mark
1 (c)	**AO1 - 1 mark** Award 1 mark for a correct definition of **niche marketing**. • Targeting a smaller segment of a market **(1)**	**(1)**

Question Number	State **one** way *Café Pinch* can react to external social factors affecting its business. **Answer**	Mark
1 (d)	**A02 - 1 mark** Award 1 mark for a way *Café Pinch* can react to the social factors affecting its business in the context of the business. • They can change their menu to suit people becoming more health conscious **(1)** **NB** Do not accept a way that is not in the context of *Café Pinch.* **Accept any other appropriate response.**	**(1)**

Question Number	Calculate what a customer would pay for these three items after the discount is applied. **Answer**	Additional guidance	Mark
1 (e)	**A02 - 2 marks** 14.00 x 0.05 = 0.70 **(1)** 14.00 – 0.70 = 13.30 **(1)**	Award 1 mark for correctly substituting numbers into formula. Award full marks for correct numerical answer without working.	**(2)**

Type MS · Revenue and profit: meaning and how to raise them

Answer 9 of 14 · Question 1 part a.iii · 1 mark

2024 JUN · Paper 01 (regional R) · extract 4 of 6 · find part a.iii in this mark scheme extract

Question Number	Explain **one** advantage to a start-up business of using a venture capitalist. **Answer**	Mark
1 (f)	**A01 - 3 marks** Award 1 mark for identification of an advantage of using a venture capitalist, plus 2 further marks for explaining the advantage, for a maximum of 3 marks. • Venture capitalists can be specialists **(1)** who may bring skills and new ideas to the business **(1)** giving it a greater chance of success **(1)** **NB** Answers that list three advantages with no explanation will get 1 mark only. **Accept any other appropriate response.**	**(3)**

Type MS · Revenue and profit: meaning and how to raise them

Answer 9 of 14 · Question 1 part a.iii · 1 mark

2024 JUN · Paper 01 (regional R) · extract 5 of 6 · find part a.iii in this mark scheme extract

Question Number	Analyse the importance to Kumaran, the owner of *Café Pinch,* of having motivated employees. **Indicative content**	Mark
1 (g)	**AO2 = 3 marks AO3 = 3 marks** **AO2** • If waiters serving customers are motivated, they will provide a good service when serving food and drink • If the chefs are motivated, they can come up with new dishes to enhance the menu **AO3** • If the employees/waiters remain motivated, they will continue to want to meet the needs of customers encouraging those customers to keep coming back to the business • This could lead to staff retention and lower recruitment costs	**(6)**

Level	Mark	Descriptor
	0	No Rewardable material.
Level 1	1-2	• Limited application of knowledge and understanding of business concepts and issues to the business context. (AO2) • Attempts to deconstruct business information and/or issues, finding limited connections between points. (AO3)
Level 2	3-4	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies. (AO2) • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies. (AO3)
Level 3	5-6	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout. (AO2) • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning. (AO3)

Type MS · Revenue and profit: meaning and how to raise them

Answer 9 of 14 · Question 1 part a.iii · 1 mark

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Question Number	State **one** reason why *Café Pinch* might set business objectives. **Answer**	**Mark**

Type MS · Revenue and profit: meaning and how to raise them

Answer 10 of 14 · Question 1 part c · 1 mark

2024 JUN · Paper 02 · extract 1 of 6 · find part c in this mark scheme extract

1 (a) (i)	**AO1 - 1 mark** The only correct answer is **B -** Personal satisfaction **A** – is not the correct answer as generating wealth is a financial objective **C** - is not the correct answer as maximising profit is a financial objective **D** - is not the correct answer as regular income is a financial objective	**(1)**

Q. No.	Which **one** of the following would be a benefit to a business delaying paying its suppliers? **Answer**	**Mark**
1 (a) (ii)	**AO1 - 1 mark** The only correct answer is **A -** Improved cash flow **B** – is not the correct answer as profit would not be greater if you delayed paying suppliers **C** - is not the correct answer as suppliers would want more interest on the outstanding amount **D** - is not the correct answer as delaying payment would have the opposite effect on suppliers	**(1)**

Q. No.	Which **one** of the following would be the total monthly cost for *Jewellery For You*?	**Mark**
1 (a) (iii)	**AO1 - 1 mark** The only correct answer is **B -** €3 480 **A** – is not the correct answer as €924 is 27 x 12 + 600 **C** - is not the correct answer as €6 480 is 240 x 27 **D** - is not the correct answer as €7 080 is 240 x 27 + 600	**(1)**

Type MS · Revenue and profit: meaning and how to raise them

Answer 10 of 14 · Question 1 part c · 1 mark

2024 JUN · Paper 02 · extract 2 of 6 · find part c in this mark scheme extract

Q. No.	Which **one** of the following is a reason why a business would produce a cash flow forecast? **Answer**	Mark
1 (a) (iv)	**AO1 - 1 mark** The only correct answer is **C -** It can help a bank decide whether it should lend money to a business **A** – is not the correct answer as it is not a legal requirement that a business has a cash flow forecast **B** – is not the correct answer as a cash flow forecast does not ensure that the business will be successful **D** - is not the correct answer as a forecast does not show the profit and loss of a business in the past six months	**(1)**

Q. No.	Which **one** of the following was the cost of the holiday in Thai Baht? **Answer**	Mark
1 (a) (v)	**AO1 - 1 mark** The only correct answer is **C -** 40 828.18 **A** – is not the correct answer as 24.20 is 998 ÷ 40.91 **B** – is not the correct answer as 1038.91 is 998 + 40.91 **D** - is not the correct answer as 40 869.09 is 998 x 40.91 + 40.91	**(1)**

Q. No.	Which **one** of the following is a reason why a sole trader would want to become a private limited company? **Answer**	Mark
1 (a) (vi)	**AO1 - 1 mark** The only correct answer is **D -** Increased ability to raise finance **A** – is not the correct answer as the business would have to publish its financial records so therefore not confidential **B** – is not the correct answer as the private limited company would have limited liability **C** - is not the correct answer as shareholders are not liable for all debts	**(1)**

Type MS · Revenue and profit: meaning and how to raise them

Answer 10 of 14 · Question 1 part c · 1 mark

2024 JUN · Paper 02 · extract 3 of 6 · find part c in this mark scheme extract

Q. No.	Define the term **franchise**. **Answer**	Mark
1 (b)	**AO1 - 1 mark** Award 1 mark for a correct definition of **franchise** • A business allows another operator to trade under its name **(1)**	**(1)**

Q. No.	Define the term **profit**. **Answer**	Mark
1 (c)	**AO1 - 1 mark** Award 1 mark for a correct definition of **profit** • Funds that are left over after all costs have been subtracted from the revenue **(1)**	**(1)**

Q. No.	State **one** reason why *TUI* pays its employees above the minimum wage. **Answer**	Mark
1 (d)	**AO2 - 1 mark** Award 1 mark for a valid reason why *TUI* pays its employees above the minimum wage in the context of the business • By *TUI* paying its employees above the minimum wage they are more likely to remain with *TUI* and their knowledge of cruises and holidays will not be lost **(1)** • Employees will feel more valued and gain more knowledge and experience of the travel industry that they could pass on to potential customers **(1)** **NB** Do not accept a reason that is not in the context of *TUI.* Accept any appropriate response	**(1)**

Type MS · Revenue and profit: meaning and how to raise them

Answer 10 of 14 · Question 1 part c · 1 mark

2024 JUN · Paper 02 · extract 4 of 6 · find part c in this mark scheme extract

Q. No.	Calculate the total price of a holiday for **two** adults with a 12.5% promotional discount for booking online. **Answer**	**Additional Guidance**	**Mark**
1 (e)	**A02 - 2 marks** 725.92 x 2 = 1451.84 1451.84 x 0.125 = 181.48 **(1)** 1451.84 – 181.48 = 1270.36 **(1)** **OR** 725.92 x 0.875 = 635.18 **(1)** 635.18 x 2 = 1270. 36 **(1)**	Award 1 mark for correctly substituting numbers into formula. Award full marks for correct answer with no working.	**(2)**

Q. No.	Explain **one** of the factors in Herzberg's motivational theory. **Answer**	**Mark**
1 (f)	**A01 - 3 marks** Award 1 mark for identification of a factor in Herzberg's motivational theory, plus 2 further marks for explaining the theory, for a maximum of 3 marks. • One is called a hygiene factor **(1)** where employees are paid for their work **(1)** which means employees gain security knowing they can pay their bills **(1)** • One is called a motivator factor **(1)** employees gain achievement in their work **(1)** which allows them to grow and develop **(1)** **NB** No marks are awarded for a definition. Answers that list three factors with no explanation will get 1 mark only. Accept any appropriate response.	**(3)**

Type MS · Revenue and profit: meaning and how to raise them

Answer 10 of 14 · Question 1 part c · 1 mark

2024 JUN · Paper 02 · extract 5 of 6 · find part c in this mark scheme extract

Q. No.	Analyse the benefits for *TUI* from including health and safety training for its employees in their induction training. **Indicative content**	Mark
1 (g)	**AO2 = 3 marks AO3 = 3 marks** **AO2** • Employees working in one of the travel agencies will know what to do if there is an emergency, such as an employee injuring themselves after falling • Employees will be aware of any dangers by ensuring that all computer wires in the agencies are securely fastened to floors and walls so that no one can trip over them **AO3** • They will be able to make decisions quickly as to how to deal with the situation, by knowing where the first aid kit for plasters or bandages • Thus, avoiding any accidents and *TUI* being sued by employees	**(6)**

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1-2	• Limited application of knowledge and understanding of business concepts and issues to the business context **(AO2)** • Attempts to deconstruct business information and/or issues, finding limited connections between points **(AO3)**
Level 2	3-4	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies **(AO2)** • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies **(AO3)**
Level 3	5-6	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout (**AO2)** • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning **(AO3)**

Type MS · Revenue and profit: meaning and how to raise them

Answer 10 of 14 · Question 1 part c · 1 mark

2024 JUN · Paper 02 · extract 6 of 6 · find part c in this mark scheme extract

Q. No.	State **one** possible reason why *TUI* would want to keep its customers loyal. **Answer**	**Mark**

Type MS · Revenue and profit: meaning and how to raise them

Answer 11 of 14 · Question 3 part b · 2 marks

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3 (a)	**AO1 - 1 mark** Award 1 mark for a correct definition of current liabilities. The amounts owed by a business that must be paid within twelve months **(1).**	**(1)**

Question Number	Answer	Mark
3 (b)	**AO2 - 2 marks** Award 1 mark for identifying a reason why the revenue is higher for the Bakery shops rather than *L.bistro* and *L.café*, plus 1 further mark for linking it to the context of the question. Bakeries are used on a daily basis buying the same kind of products i.e. bread and cakes **(1)** whereas *L.bistro* and *L.café* are more for special occasions **(1).** Do not accept a reason that is not in the context of *Lavender*. **Accept any other appropriate response.**	**(2)**

Question Number	Answer	Additional guidance	Mark
3 (c)	**AO2 - 2 marks** 24/75 x 100 **(1)** = 32% **(1).**	Award 1 mark for correctly substituting numbers into formula. Award full marks for correct numerical answer without working.	**(2)**

Type MS · Revenue and profit: meaning and how to raise them

Answer 11 of 14 · Question 3 part b · 2 marks

2019 JUN · Paper 01 (regional R) · extract 2 of 5 · find part b in this mark scheme extract

Question Number	Indicative content	Mark
3 (d)	**AO2 = 3 marks AO3 = 3 marks** **AO2** • *Lavender* are able to see if they have enough money to expand into other parts of Malaysia. • *Lavender* can use these figures to show investors how successful they are as a business and are capable of expanding. **AO3** • As *Lavender* want to expand they need to take into account other factors such as overheads and outgoings as these may be higher so the net profit figure may be low and they will not have enough to expand. • *Lavender* also need to consider other factors such as the location of competition in the areas they are looking to expand in and if they can survive as a new business entering the area or comparing the figures to last year's figures to see if they have performed better or worse.	**(6)**

Level	Mark	Descriptor
	0	No Rewardable material.
Level 1	1-2	• Limited application of knowledge and understanding of business concepts and issues to the business context. (AO2) • Attempts to deconstruct business information and/or issues, finding limited connections between points. (AO3)
Level 2	3-4	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies. (AO2) • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies. (AO3)
Level 3	5-6	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout. (AO2) • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning. (AO3)

Type MS · Revenue and profit: meaning and how to raise them

Answer 11 of 14 · Question 3 part b · 2 marks

2019 JUN · Paper 01 (regional R) · extract 3 of 5 · find part b in this mark scheme extract

Question Number	Indicative content	Mark
3 (e)	**AO2 = 3 marks AO3 = 3 marks** **AO4 = 3 marks** **AO2** Option 1 – Primary market research, such as questionnaires, will allow *Lavender* to approach existing and potential customers face to face to ask their opinions of its food and menu. Option 2 – Secondary market research, such as the internet, will allow *Lavender* to gain wider sources of information about the area it wishes to expand into and see if there are other similar restaurants. **AO3** Option 1 – Therefore, giving *Lavender* detailed feedback specific to its business about its food products and from people who are within the area it is looking to expand into. Option 2 – Therefore, it is less time consuming for *Lavender* because other people have put the information together and they can find out other information such as local bakeries as opposed to just what the customers' needs and wants are such as local competition and suppliers in the area. **AO4** Option 1 – However, they may also find that not all of the feedback gained is relevant to the menu they have or some people may not want to fill in the questionnaire so they do not gather all of the information they require. Option 2 – However, when using secondary market research methods you could spend a lot of time looking at other factors and not gaining the information you actually need about food products. Also some of the information might not be relevant to the business activity of *Lavender* or could be outdated.	**(9)**

Type MS · Revenue and profit: meaning and how to raise them

Answer 11 of 14 · Question 3 part b · 2 marks

2019 JUN · Paper 01 (regional R) · extract 4 of 5 · find part b in this mark scheme extract

Level	Mark	Descriptor
	0	No Rewardable material.
Level 1	1-3	• Limited application of knowledge and understanding of business concepts and issues to the business context. (AO2) • Attempts to deconstruct business information and/or issues, finding limited connections between points. (AO3) • Makes a judgement, providing a simple justification based on limited evaluation of business information and issues relevant to the choice made. (AO4)
Level 2	4-6	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies. (AO2) • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies. (AO3) • Makes a judgement, providing a justification based on sound evaluation of business information and issues relevant to the choice made. (AO4)
Level 3	7 - 9	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout. (AO2) • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning. (AO3) • Makes a judgement, providing a clear justification based on a thorough evaluation of business information and issues relevant to the choice made. (AO4)

Type MS · Revenue and profit: meaning and how to raise them

Answer 11 of 14 · Question 3 part b · 2 marks

2019 JUN · Paper 01 (regional R) · extract 5 of 5 · find part b in this mark scheme extract

Question Number	Answer	Additional guidance	Mark

Type MS · Revenue and profit: meaning and how to raise them

Answer 12 of 14 · Question 1 part f · 3 marks

2019 JUN · Paper 01 · extract 1 of 5 · find part f in this mark scheme extract

1 (a) (i)	**AO1 - 1 mark** **B -** Government reports	**(1)**

Question Number	Answer	Mark
1 (a) (ii)	**AO1 - 1 mark** **C -** Increased market share	**(1)**

Question Number	Answer	Mark
1 (a) (iii)	**AO1 - 1 mark** **A -** Bank loan	**(1)**

Question Number	Answer	Mark
1 (a) (iv)	**AO1 - 1 mark** **C –** Production	**(1)**

Question Number	Answer	Mark
1 (a) (v)	**AO2 - 1 mark** **A -** 2 489.60 Ks	**(1)**

Question Number	Answer	Mark
1 (a) (vi)	**AO2 - 1 mark** **D -** The cost of importing a handbag would fall	**(1)**

Question Number	Answer	Mark
1 (b)	**AO1 - 1 mark** Award 1 mark for a correct definition of stakeholder. • Individuals or groups with an interest in the success or failure of a business **(1).**	**(1)**

Type MS · Revenue and profit: meaning and how to raise them

Answer 12 of 14 · Question 1 part f · 3 marks

2019 JUN · Paper 01 · extract 2 of 5 · find part f in this mark scheme extract

Question Number	Answer	Mark
1 (c)	**AO1 - 1 mark** Award 1 mark for a correct definition of quantitative data. • Data that is measured by value and expressed/represented as numbers **(1).**	**(1)**

Question Number	Answer	Mark
1 (d)	**AO2 - 1 mark** Award 1 mark for a valid response which relates to a method of on-the-job training in the context of the business. • Shadowing a fellow shoe fitter **(1).** • Demonstrating how customers are advised between different shoe brands **(1).** **Accept any other appropriate response.**	**(1)**

Question Number	Answer	Additional guidance	Mark
1 (e)	**AO2 - 2 marks** 500 500/ 570 000 x 100 **(1)** Answer 87.81% **(1)**	Award 1 mark for correctly substituting numbers into formula. Award full marks for correct numerical answer without working.	**(2)**

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Answer 12 of 14 · Question 1 part f · 3 marks

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Question Number	Answer	Mark
1 (f)	**AO1 - 3 marks** Award 1 mark for identification of a way, plus 2 further marks for explaining how this way will affect a business for a maximum of 3 marks. • A business could negotiate deals with suppliers at a cheaper rate **(1)** this will keep costs as low as possible **(1)** meaning that the business can look to reduce the prices of their products/services to encourage more sales **(1).** Answers that list three ways with no explanation will get a maximum of 1 mark. **Accept any other appropriate response.**	**(3)**

Type MS · Revenue and profit: meaning and how to raise them

Answer 12 of 14 · Question 1 part f · 3 marks

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Question Number	Indicative content	Mark
1 (g)	**AO2 = 3 marks AO3 = 3 marks** **AO2** • *Backyard Shoez* is located in three shopping malls where there are other shoe shops. • *Backyard Shoez* need to maintain a high standard at all times to encourage customers to buy its shoes and bags. **AO3** • If customer needs are not met then present customers are likely to go to other shoe shops. • *Backyard Shoez* will maintain customer loyalty with positive effects on sales and revenue.	**(6)**

Level	Mark	Descriptor
	0	No Rewardable material.
Level 1	1-2	• Limited application of knowledge and understanding of business concepts and issues to the business context (AO2). • Attempts to deconstruct business information and/or issues, finding limited connections between points (AO3).
Level 2	3-4	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies (AO2). • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies (AO3).
Level 3	5-6	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout (AO2). • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning (AO3).

Type MS · Revenue and profit: meaning and how to raise them

Answer 12 of 14 · Question 1 part f · 3 marks

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Question Number	Answer	Mark

Type MS · Revenue and profit: meaning and how to raise them

Answer 13 of 14 · Question 1 part f · 3 marks

2020 NOV · Paper 01 (regional R) · extract 1 of 6 · find part f in this mark scheme extract

1 (a) (i)	**AO1 = 1 mark** **The only correct answer is D – Personal satisfaction** A is not correct because it is a financial business objective B is not correct because it is a financial business objective C is not correct because it is a financial business objective	**(1)**

Question Number	Answer	Mark
1 (a) (ii)	**AO1 = 1 mark** **The only correct answer is A - Rising star** B is not correct because it is a process carried out for health and safety at work C is not correct because it is in relation to branding D is not correct because it is part of the product life cycle	**(1)**

Question Number	Answer	Mark
1 (a) (iii)	**AO1 = 1 mark** **The only correct answer is B - Bonus** A is not correct because it is a financial method of motivation that is not added to a basic wage C is not correct because it is a non-financial method of motivation that is not added to a basic wage D is not correct because it is a method of payment where workers get paid for each item produced	**(1)**

Type MS · Revenue and profit: meaning and how to raise them

Answer 13 of 14 · Question 1 part f · 3 marks

2020 NOV · Paper 01 (regional R) · extract 2 of 6 · find part f in this mark scheme extract

Question Number	Answer	Mark
1 (a) (iv)	**AO1 = 1 mark** **The only correct answer is A - Growth** B is not correct because this is phase 4 on figure 1 C is not correct because this is phase 1 on figure 1 D is not correct because this is phase 3 on figure 1	**(1)**

Question Number	Answer	Mark
1 (a) (v)	**AO2 = 1 mark** **The only correct answer is B - 150%** A is not correct because this is profit per item C is not correct because this is selling price per course + cost per item D is not correct because this is selling price per course/ cost per item x100	**(1)**

Question Number	Answer	Mark
1 (a) (vi)	**AO2 = 1 mark** **The only correct answer is D - 9 675.90 JPY** A is not correct because this is the cost of the course B is not correct because this is the exchange rate of the JPY C is not correct because this is the cost of the course multiplied by 148	**(1)**

Type MS · Revenue and profit: meaning and how to raise them

Answer 13 of 14 · Question 1 part f · 3 marks

2020 NOV · Paper 01 (regional R) · extract 3 of 6 · find part f in this mark scheme extract

Question Number	Answer	Mark
1 (b)	**AO1 = 1 mark** Award 1 mark for a correct definition of capital intensive production. • Production methods that make more use of machinery than labour (1).	**(1)**

Question Number	Answer	Mark
1 (c)	**AO1 = 1 mark** Award 1 mark for a correct definition of quantitative data. • Data that is expressed as number (1).	**(1)**

Question Number	Answer	Mark
1 (d)	**A02 = 1 mark** Award 1 mark for a reason why Tom Baker operates his business as a social enterprise. • He could use his profits to help his local community (1). **Accept any other appropriate response.**	**(1)**

Type MS · Revenue and profit: meaning and how to raise them

Answer 13 of 14 · Question 1 part f · 3 marks

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Question Number	Answer	Additional guidance	Mark
1 (e)	**A02 = 2 marks** 23 546 x 0.03 = 706.38 (1) 23 546 + 706.38 = 24 252.38 (1) **OR** 23 546 x 103 (1) = 24 252.38 (1)	Award 1 mark for correctly substituting numbers into formula. Award full marks for correct numerical answer without working.	**(2)**

Question Number	Answer	Mark
1 (f)	**A01 = 3 marks** Award 1 mark for identification of a method of increasing profit, plus 2 further marks for explaining the impact, for a maximum of 3 marks. • Profits could be increased by cutting costs (1). A small business could cut the number of workers it has or reduce their hours (1) so if the revenue stays the same this will increase the profit (1). **NB** Answers that list three methods with no explanation will get a maximum of 1 mark. **Accept any other appropriate response**.	**(3)**

Type MS · Revenue and profit: meaning and how to raise them

Answer 13 of 14 · Question 1 part f · 3 marks

2020 NOV · Paper 01 (regional R) · extract 5 of 6 · find part f in this mark scheme extract

Question Number	Indicative content	Mark
1 (g)	**AO2 = 3 marks AO3 = 3 marks** **AO2** • There is more interest in businesses becoming 'green' and *Loaf* provides somewhere for the community to recycle. • *Loaf* operates the 'Waste Not' scheme by giving away waste instead of disposing of it to reduce the amount the business disposes of. **AO3** • If the business is able to recycle packaging then it can cut costs leading to more profit to be contributed back to the local community, customers will be happy about this as they can physically see their local area being helped. • This is important for *Loaf* as customers will be able to see that the business is helping charities, meeting its social objectives and reducing any waste that it produces as a business.	**(6)**

Level	Mark	Descriptor
	0	No Rewardable material.
Level 1	1-2	• Limited application of knowledge and understanding of business concepts and issues to the business context. (AO2) • Attempts to deconstruct business information and/or issues, finding limited connections between points. (AO3)
Level 2	3-4	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies. (AO2) • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies. (AO3)
Level 3	5-6	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout. (AO2) • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning. (AO3)

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Answer 13 of 14 · Question 1 part f · 3 marks

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Question Number	Answer	Mark

Type MS · Revenue and profit: meaning and how to raise them

Answer 14 of 14 · Question 2 part c · 3 marks

2025 JUN · Paper 01 (regional R) · extract 1 of 6 · find part c in this mark scheme extract

2 (a)	**A02 - 1 mark** Award 1 mark for a valid financial method of motivation *CCT* could use with its employees. • Commission paid for each customer booked on a cycle tour **(1)** **NB** Do not accept a factor that is not in the context of *CCT.* **Accept any other appropriate response.**	**(1)**

Type MS · Revenue and profit: meaning and how to raise them

Answer 14 of 14 · Question 2 part c · 3 marks

2025 JUN · Paper 01 (regional R) · extract 2 of 6 · find part c in this mark scheme extract

Question Number	State **one** benefit to *CCT* of satisfying customer needs. **Answer**	Mark
2 (b)	**A02 - 1 mark** Award 1 mark for a valid benefit to *CCT* of satisfying customer needs. • Its customers will recommend the cycle tours to friends and family **(1)** **NB** Do not accept a benefit that is not in the context of *CCT*. **Accept any other appropriate response.**	**(1)**

Question Number	Explain **one** way a business could increase its profit. **Answer**	Mark
2 (c)	**A01 - 3 marks** Award 1 mark for identification of a way a business could increase its profit, plus 2 further marks for explaining this way, for a maximum of 3 marks. • Increase the price of the product **(1)** if customers feel the quality is high they may be willing to pay the new price **(1)** and if costs stay the same profit will increase **(1)** **NB** Answers that list three ways with no explanation will get 1 mark only. **Accept any other appropriate response.**	**(3)**

Type MS · Revenue and profit: meaning and how to raise them

Answer 14 of 14 · Question 2 part c · 3 marks

2025 JUN · Paper 01 (regional R) · extract 3 of 6 · find part c in this mark scheme extract

Question Number	Explain **one** way that the introduction of tariffs might affect a business importing goods. **Answer**	Mark
2 (d)	**A01 - 3 marks** Award 1 mark for a way that the introduction of tariffs might affect a business importing goods, plus 2 further marks for explaining this impact, for a maximum of 3 marks. • Imported products will now become more expensive **(1)** because of the tax imposed on imports **(1)** which may lead to a decrease in sales for the importer **NB** Answers that list three impacts with no explanation will get 1 mark only. **Accept any other appropriate response**.	**(3)**

Question Number	Explain **one** reason why quality control is important to a business. **Answer**	Mark
2 (e)	**A01 - 3 marks** Award 1 mark for a reason why quality control is importance to a business, plus 2 further marks for explaining that reason, for a maximum of 3 marks. • Improved customer satisfaction **(1)** as defects would be identified before goods are despatched to customers **(1)** leading to fewer returns from customers **(1)** **NB** Answers that list three reasons with no explanation will get 1 mark only. **Accept any other appropriate response.**	**(3)**

Type MS · Revenue and profit: meaning and how to raise them

Answer 14 of 14 · Question 2 part c · 3 marks

2025 JUN · Paper 01 (regional R) · extract 4 of 6 · find part c in this mark scheme extract

Question Number	The owner of *CCT* wants to measure the success of the business. The owner is considering two options: **Option 1:** customer satisfaction **Option 2:** profit Justify which **one** of these two options the owner of *CCT* should choose. **Indicative content**	Mark
2 (f)	**AO2 = 3 marks AO3 = 3 marks** **AO4 = 3 marks** **AO2** • **Option 1** – Customer satisfaction will indicate to *CCT* how happy customers are with the level of the bicycle touring service • **Option 2** – a high level of profit will show *CCT* they can provide the bicycle tours at a cost which is lower than the price they are selling them for **AO3** • **Option 1** – Customer satisfaction would be a useful measure of success since it would tell *CCT* the strengths of its brand and what customer are happy with • **Option 2** – it would be a useful measure as it will show that the business is financially viable and it can cover any costs incurred **AO4** • **Option 1** – However, it is difficult to measure customer satisfaction accurately as it relies on customers leaving reviews and providing honest feedback of their experiences • **Option 2** – However, profit can be affected by short-term fluctuations in the market, making it difficult to measure success over a longer period of time	**(9)**

Type MS · Revenue and profit: meaning and how to raise them

Answer 14 of 14 · Question 2 part c · 3 marks

2025 JUN · Paper 01 (regional R) · extract 5 of 6 · find part c in this mark scheme extract

Level	Mark	Descriptor
	0	No Rewardable material.
Level 1	1-3	• Limited application of knowledge and understanding of business concepts and issues to the business context. (AO2) • Attempts to deconstruct business information and/or issues, finding limited connections between points. (AO3) • Makes a judgement, providing a simple justification based on limited evaluation of business information and issues relevant to the choice made. (AO4)
Level 2	4-6	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies. (AO2) • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies. (AO3) • Makes a judgement, providing a justification based on sound evaluation of business information and issues relevant to the choice made. (AO4)
Level 3	7 - 9	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout. (AO2) • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning. (AO3) • Makes a judgement, providing a clear justification based on a thorough evaluation of business information and issues relevant to the choice made. (AO4)

Type MS · Revenue and profit: meaning and how to raise them

Answer 14 of 14 · Question 2 part c · 3 marks

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Question Number	Define the term **share capital.** **Answer**	Mark